IN THE NATIONAL COMPANY LAW TRIBUNAL,
SINGLE BENCH, CHENNAI

CA/187/CAA/2018

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Arrangement

Between

M/s. Arihant Duraplast Private Limited

(Applicant Company)

And

Its respective Shareholders and Creditors

Order delivered on 8th November, 2018

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CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Applicant(s): Mr. S. Sathiyanarayanan, *Counsel*

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

1. Under consideration is a Company Application No. 187/CAA/2018 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made is to dispense with convening, holding and conducting of the meeting of equity shareholders, secured and unsecured Creditors in relation to the Applicant Company.

2. **M/s. Arihant Duraplast Private Limited**

i. The Applicant Company viz., M/s. Arihant Duraplast Private Limited has 5 (Five) equity shareholders. The list of equity shareholders is placed at page 330 of the typed set filed with the Application. The consent affidavits given by 5 (Five) equity shareholders are placed at pages 331 to 340 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of equity shareholders. Therefore, the meeting of the equity shareholders of the Applicant Company is allowed to be dispensed with.

ii. There are 2 (Two) secured creditors in relation to the Applicant Company. The list of the secured creditors is placed at page 72 of the typed set filed with the application. The consent affidavits given by the secured creditors are placed at pages 75-76 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to the same.

Therefore, the meeting of the secured creditors of the Applicant Company is allowed to be dispensed with.

iii. There are 125 (One Hundred Twenty Five) unsecured creditors in relation to the Applicant Company. The list of the unsecured creditors is placed at pages 77 to 79 of the typed set filed with the application. The consent affidavits given by the unsecured creditors are placed at pages 80 to 329 of the typed set with the Application. On perusal of the affidavits given by the unsecured creditors, it has been observed that the unsecured creditors are relinquishing their claims and supporting the proposed Scheme of Arrangement. However, the Scheme will have direct effect on the outstanding of the unsecured creditors; therefore, their meeting is required to be conducted. In this regard, reliance is placed on the judgement passed by Hon'ble Delhi High Court in the case of ***Ansal Properties and Industries Ltd., In re [1978] 48 Comp. Cas. 184 (Delhi)***, wherein it has been held that the Legislature has cast a duty on the court to ascertain whether the scheme affects the

interests of the creditors to such an extent that holding of their meeting is essential.

Therefore, the meeting of the unsecured Creditors of the Applicant Company is directed to be conducted on or before 25.12.2018, at 11:00 A.M., at the registered office of the Applicant Company situated at Plot No. C-19, SIPCOT Industrial Park, Irungattukottai, Kanchipuram-602117, Tamilnadu.

Mr. B. Dhanraj (Advocate) is hereby appointed as the Chairman of the Meeting of the unsecured Creditors. The quorum for meeting is fixed at 50. In case the quorum is not there at the designated time when the meeting is called, then, the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum. The notice of the meeting of secured Creditors shall be issued under the supervision of the chairman at least not less than 30+2 days prior to the date fixed for meeting. The service of notice shall be effected by speed post/through electronic means, provided the e-

mail address of the unsecured creditors is available with the Applicant Company.

The Applicant Company is also directed to make available the facility for voting by making appropriate arrangements. The information about such arrangements shall be given to the unsecured creditors well before the date fixed for the meeting. Those who received the notices may vote in the meeting either in person or through proxy for the adoption of the Scheme. The Chairman shall ensure that the proceedings of the meeting may take place in a just, free and fair manner, and within one week of the meeting, the Chairman shall file the report of the meeting of unsecured creditors before this Bench. The Chairman of the meeting is at liberty to appoint scrutinizer and other persons for his assistance by fixing their remuneration and to fix his own remuneration as per the practice in vogue and the company shall pay the same to the persons so appointed and to the chairman.

3. The Registry is directed to issue notice to the concerned Regional Director, Ministry of Corporate Affairs, RoC, Income Tax Department including A.O. of the I.T. Circle in relation to the Applicant Company. Since the Applicant is private limited company, there is no requirement to issue notice to SEBI or other stock exchanges and CCI or other sectoral regulators. In case, the statutory authorities are desirous of making any objection/representation, they may do so within 30 days from the date of receipt of the notice. In case no objection/representation is made, it shall be presumed that they/any of them have/has no objection/representation to make.

4. The Applicant Company is directed to issue private notice to the concerned authorities/regulators by way of speed post/hand delivery separately. The proof of sending and effecting the service of notice upon them along with the newspaper publication shall be submitted with the supporting affidavit to this Bench along with Company Petition(s).

5. The Applicant Company is directed to effect publication in the newspapers one in English Daily (Business Standard- Tamilnadu Edition) and another in Vernacular Daily (Maalai Murasu- Tamilnadu Edition) provided the said newspapers have wide circulation in the State of Tamilnadu, having not less than 30 days before filing the Company Petition(s). The Applicant Company is directed to upload the notice on its website and display the notice on the notice board at the Registered Office of the Applicant Company. The Registry is also directed to display the notice on the notice board of this Bench.

6. After one week from the date of submission of the report by the Chairman, the Applicant Company may present the Company Petition. Accordingly the Application stands **disposed of**.

7. The Counsel for the Applicant Company shall send a copy of this Order to Mr. B.Dhanraj, Advocate for information and compliance of the Order.

[CH. MOHD. SHARIEF TARIQ]
MEMBER (JUDICIAL)

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